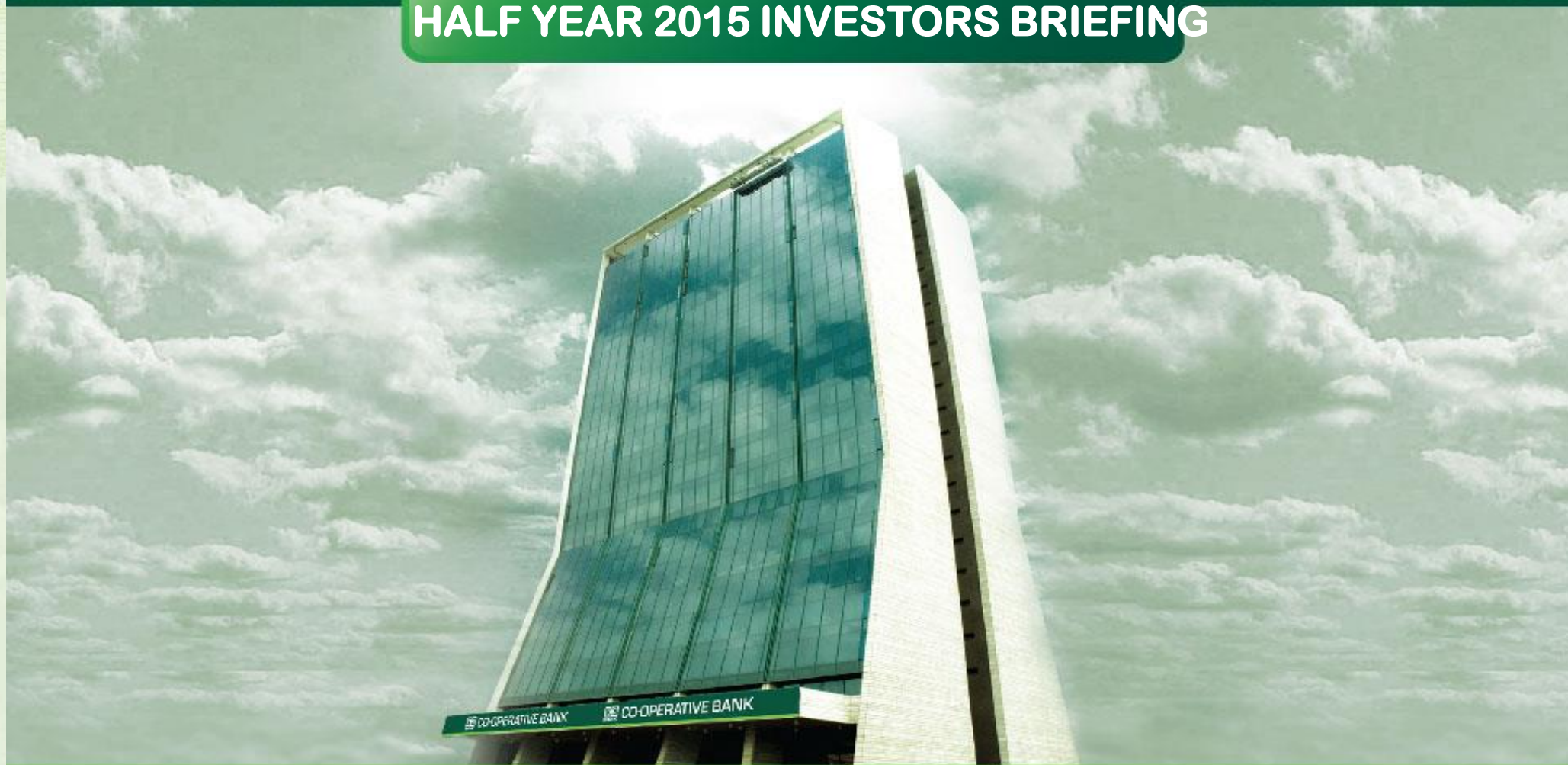




CO-OPERATIVE BANK OF KENYA LTD

HALF YEAR 2015 INVESTORS BRIEFING



CO-OPERATIVE BANK
We are you

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Macroeconomic Environment



❖ Gross Domestic Product

- Kenya's economy remains resilient supported by increasing infrastructure investments, lower energy prices and a dynamic private investment environment.
- Quarter1 2015 GDP numbers released in June 2015 indicate that the economy expanded by 4.9%.
- Continued infrastructure spending is likely to accelerate growth in second half 2015.
- Key focus issues in the 2nd half of the year may revolve around, the strengthened US dollar, need to improve export earnings and rising interest rates.

❖ Overall Inflation

- Overall rate averaged 6.42% in first half 2015 compared to 6.9% in a similar period in 2014.
- A marginal rise in inflation is projected in the second half 2015 on account of imported inflation with a strengthening US Dollar.



❖ Kshs. Exchange and the interest rates

- The exchange rate has stabilized at around Ksh.101 supported by the increasing interest rates with CBR increasing from 8.5% to 10% on 9th June 2015 and again to 11.5% in early July 2015
- Kenya Banks Reference Rate (KBRR) has increased in tandem from 8.54% to 9.87%.
- Interbank rate averaged at 7.38% in first 4-months of 2015 indicating market liquidity while the last 2-months had tight liquidity with interbank averaging 11.5% within a spike to over 20% last few weeks.

❖ Fiscal Outlook

- Good focus by the Government on security enhancement and infrastructure development notably SGR, road network, port modernization, agriculture, health, education and capacity-building.
- Positive outlook by the international investors with the US president visit / Global Entrepreneurship Summit (GES) in July 2015.
- We expect these initiatives, among others to present business opportunities for the economy.



- Listed in Nairobi Securities Exchange in December 2008.
- 3rd Largest bank by asset size of Kshs. 325 Billion; Nation-wide Brand that speaks to the character of the Kenyan people.
- 5th largest company by market capitalization on the Nairobi Securities Exchange (NSE) at over Kshs. 100B from the 4,889,316,844 (of Kshs. 1 each) shares issued to date.
- Branch network of 143 branches (60 opened in the last 5 years in line with devolved government structure) with a total work force of 3,824 staff.
- A unique model for financial deepening with a customer base of over 5.4 million account holders and a wholesale banking to over 15,000 cooperative societies.
- Included in the MSCI Frontier markets index in 2014 increasing the bank's visibility in the international arena.
- Embarked on regional expansion starting with South Sudan in a strategic Joint Venture with the Government of South Sudan.

Successful financial deepening & business diversification

Universal Banking Model



Co-operatives Banking

- Large Saccos
- Housing Saccos
- Agri Business
- PSV/ Transport Saccos
- Investment Saccos



Retail Banking

- Micro Credit
- Small Medium Enterprises (SME)
- Personal Banking (mass & affluent)
- Diaspora Banking
- Banking the youth (Yea & Jumbo Junior)
- Asset Finance



Corporate & Institutional Banking

- Corporate banking
- Government Banking
- Trade Finance
- NGO's



Subsidiaries:

- Co-op-Trust (Investment services)
- Kingdom Securities
- Co-op Consultancy (Advisory services) & Insurance Agency
- Co-op Bank Foundation
- Banc Assurance



Regional Expansion

- Co-op Bank of South Sudan

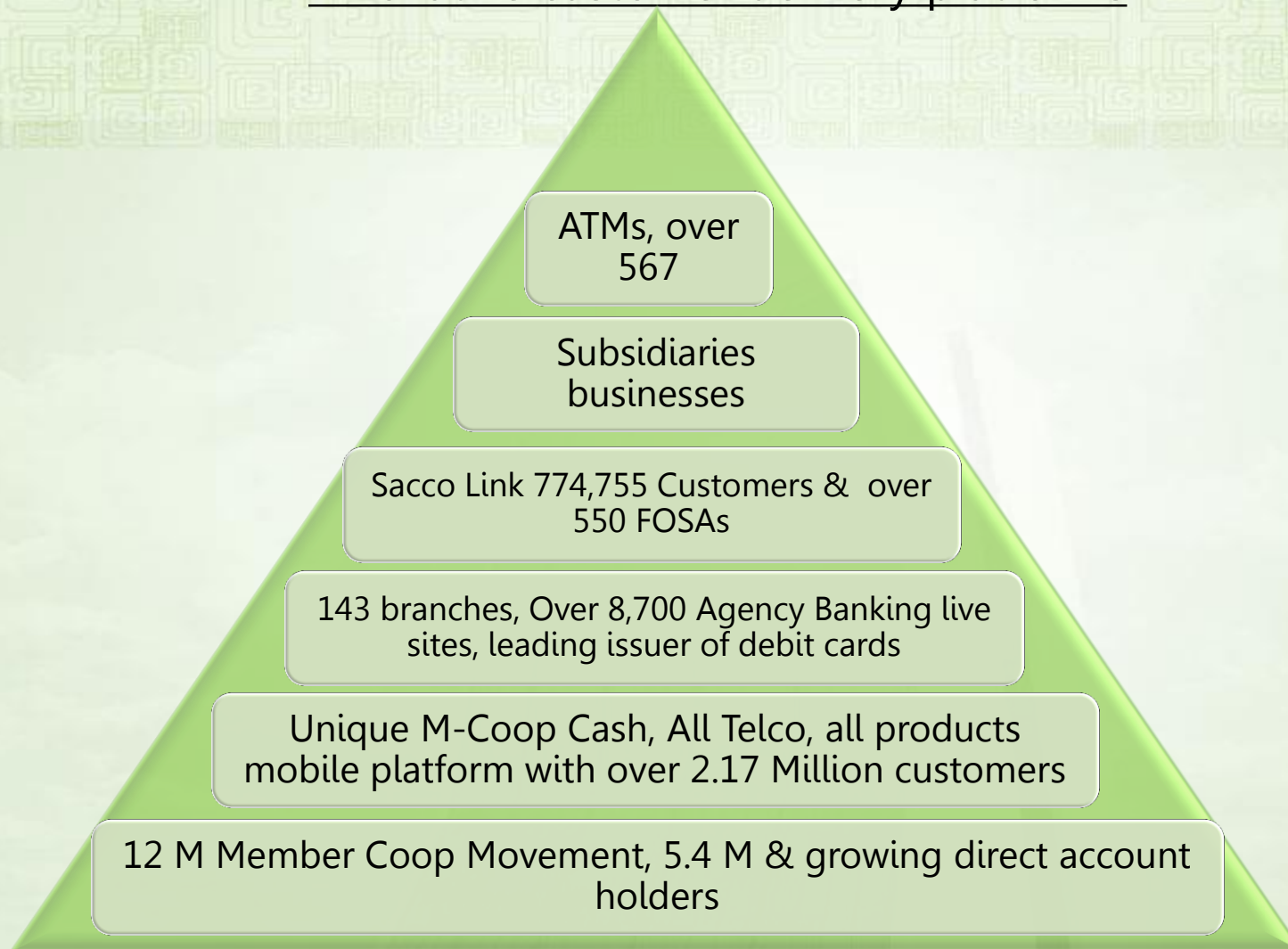


Associates:

- CIC Insurance (26% owned)

Successful Financial Deepening & Diverse delivery channels

Innovative customer delivery platforms



The Soaring Eagle Transformation Agenda



In 2014, the bank embarked on a ambitious transformation journey in order to sustain and put the group on a new trajectory for growth and market competitiveness. The review was specifically focused on the following pillars;

- A lean and functional structure.
- A competitive cost to income operating model.
- Innovative customer delivery platforms.
- Optimization of alternative banking channels.
- A cutting edge performance based reward culture (KPI's).
- Sales force effectiveness riding on our strong customer base of over 5.4 million account holders.
- Digitization and automation of the key processes.
- Enhanced and robust customer relationship management, data analytics and management reporting.
- Strengthened risk management framework.

The Soaring Eagle Transformation Agenda



This year has perhaps been one of the most exciting year in the bank wherein we have scaled new frontiers notably on the following;

- **Optimal structure**
 - Implemented a functional / customer centric structure in December 2014.
 - Released over 160 staff mainly in management cadre.
 - We have a freeze on new recruitment with staff numbers now at 3,824 compared to 4,078 last year.
 - Growth opportunities for the young and energetic team with 92% being under 40 years
- **Creation of a shared service centre**
 - All support services grouped and centralized under COO
 - Appointment of a Chief Operating Officer
 - Centralization of released staff in branches to focus on sales
 - Improved efficiency in operations
 - Improved system uptime

The Soaring Eagle Transformation Agenda



- **Creation of Transformation Office**
 - Appointment of a Director Transformation
 - Follow up and seamless implementation of all the transformation initiatives.
 - Co-ordination and alignment of transformation initiatives.

- **Branch Transformation and channel migration**
 - Re-organized the branch set up for better customer service
 - Introduced seating arrangements for our customers.
 - Drastic customer queue-time reduction
 - Introduction of critical services mainly Queue management systems, cheque / cash drop boxes, free call center lines at the branch, ATM's in branch for ease of access.
 - Introduction of customer service champions to assist customers.
 - Optimal use of our alternative channels by migrating customers
 - Increased sales at the branch level
 - Increased cross selling opportunities

The Soaring Eagle Transformation Agenda



- **Sales force effectiveness and enhanced front line productivity**
 - Implemented a customer centric model from the initial product centric
 - Relationship managers now sell full basket of products to one customer.
 - Clear 360 degree view of the customer.
 - Use of account plans thus increasing product penetration to as many as 13 products per customer.
 - Significant cross selling opportunities with over 5.4M account holders of whom 71% have only one account.
 - Staff trained on use of sales force tools and efficiency in sales.
- **Cost rationalization**
 - Optimal staffing
 - Renegotiated contracts with vendors.
 - Reviewed procurement processes and procedures, including frequent retenders with significant savings.
 - Focused more on electronic delivery channels thus reducing brick and mortar costs
 - Cost to income ratio now at 51%. (2014 - 62.6%)

The Soaring Eagle Transformation Agenda



- **Performance Management**
 - KPI based performance management and reward system.
 - Focused training across teams
- **Data Analytics and reporting**
 - Implementation of the Customer relationship management systems (CRM)
 - Enhanced lead / sales generation capabilities
 - Development of dash boards to measure performance at all levels
 - Improved management reporting through:
 - ✓ In house development of reporting tools.
 - ✓ Specialized finance business partners to guide business performance
 - Focused review of road map for the next 3-5 years
- **Digitization and automation of the key processes**
 - Digitized several customer delivery processes i.e. paperless deposits
 - Automating the loan origination process
 - A robust credit management framework
 - Enhanced collection of loans and advances



- **Key Milestones**

- As at 30th June 2015, cost to income ratio has dropped to 51% from a high of 62.6% in December 2014.
- Year on year despite a huge 22% growth in the Asset base of the bank to over Ksh.325 Billion, the operating expenses have reduced by 4%
- Return on Equity has improved to 29%
- Return on Assets up to 4.2%
- Customer Queue time has reduced drastically by up to 50% in the transformed branches
- Over 65% of transaction are being processed through alternative channels
- Increased product sales performance by at least 40%
- Through cross selling number of customers with one account has reduced from 75% to 71%.
- Customer service has greatly improved. Most customers just drop their cash and or cheques and are informed of the deposit within one hour.
- Overall Significant growth in profitability



Other Key Highlights

Robust technology with Strong Investment in Human Capital



- Modern and robust core banking system(BFUB) with a capacity to support over 15M customers & over 10M transactions per day
- Tier 3 data center with the latest IBM servers (7 series) that enables faster processing of transactions
- Specialized systems: Opics (Treasury System) and Trade Innovation (Trade finance System), custodial and fund management services among others
- High level security certification to secure all our data

- Strong value-based culture
- Young, dynamic, resourceful, talented, engaged, aggressive and innovative team that is the future of the bank. 92% of staff are below 40 years; great source of innovation and continuity.
- Run a strategic owned Leadership & Management Development Centre easing staff skills development; has trained over 1,250 Co-operatives leaders in the first half of the year 2015.
- Partnered with leading training institutions:
 - Omega for credit certification
 - High performance people skills - London Business School

Strong and Sustainable Partnerships with Development Partners



Leveraged on strong balance sheet to secure single digit long-term debt of over US\$ 337.39 M from developmental partners as hereunder:

- ❖ IFC US\$ 60 million (Kshs.5.1 billion) in USD already drawn and USD 120 million under negotiation.
- ❖ EIB Euro 70 million (Kshs.8 billion) in Kshs (locked in Kshs at the exchange rate on disbursement)
- ❖ AFD US\$ 36 million (Kshs.3.14 billion) in USD
- ❖ DEG US\$ 52.6 million (Kshs.4.68 billion) in USD

- ✓ Senior debt has enhanced asset-liability match
- ✓ Mitigated our shilling exposure
- ✓ Diversified our asset portfolio
- ✓ Expanded our client base to export-led FX rich sectors
- ✓ Boosted our competitive position on account of affordable lending rates



Co-op Consultancy & Ins. Agency Ltd

- ❑ Incorporated the Company in the year 2002. Currently with 20 consultants to support Cooperative Societies and related community benefit institutions:
 - ✓ Capacity building for Cooperative Societies
 - ✓ Over 580 consultancy and advisory mandates carried out in the past 3 years.
 - ✓ Increased number of FOSA's to over 550.
 - ✓ FOSAs have further entrenched our financial deepening model
- ❑ Supported the establishment of Kenya Co-operative Coffee Exporters Ltd (KCCE) to help coffee farmers maximize returns on their business and take greater control of the coffee value chain.

Co-operative Bank Foundation

- ❑ Our social investment program vehicle
- ❑ Flagship program is Education Scholarships for bright but needy students from all regions of Kenya. The sponsorship includes:
 - ✓ Full fees Schools fees for both secondary and University education
 - ✓ Internships and career openings for beneficiaries
- ❑ The foundation is fully funded by the bank.
- ✓ Since inception of program in 2007 to date 3,472 students sponsored for Secondary (3,353), university (112) and colleges (7) levels of education.
- ✓ The bank awards scholarships per county and the rest are determined by the bank's regional Sacco delegates.

2014 International Banker Awards

- Bank CEO of the Year - Africa - 2014
- Best Innovation in Retail Banking - 2014

Other achievements

- Information Security Management System - ISO/IEC 27001:2005
- Co-op Bank is now the first Bank in East Africa to achieve this

2015 Financial Times -World Top 1,000 Banks

- With good Tier 1 Capital strength
- Ranked highly in Africa in terms of;
 - Return on Assets
 - Return on Capital



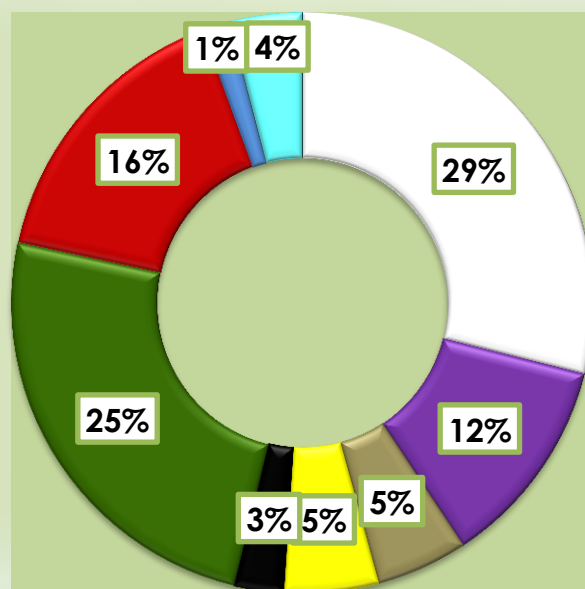
Unique Strategy for Regional Expansion

- Unique partnership with Government of S. Sudan (Co-op Bank 51% and GOSS 49%); the unique model offers 'inclusive growth'
- Currently operating 3 branches in Juba and the subsidiary has made a profit of Kshs. 122 Million for the first 6 months of the year.
- The unique joint venture offers great opportunity for long-term sustainability of the business.
- Exceptional model to be applied in our new frontiers i.e. Uganda, Rwanda, Tanzania & Ethiopia to be implemented over the next 5 years.

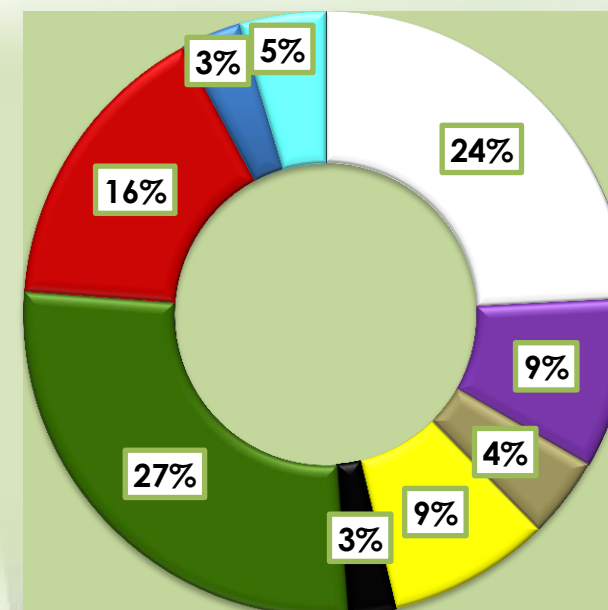
A Soaring Bank

Ksh. Billions	Q2-2015	Q2-2014	% Change (Yr/Yr)		FY 2014
Total Assets	325.1	266.7	22%	↑	285.4
Loan book (NET)	204.8	165.8	24%	↑	179.5
Government Securities	50.1	41.0	22%	↑	40.7
Total Deposits	252.7	203.3	24%	↑	220.9
No. of account holders (Millions)	5.4	4.6	17.4%	↑	5.1
Shareholders Funds	47.1	40.2	17.2%	↑	43.3

Loan Book Distribution - Q2-2015

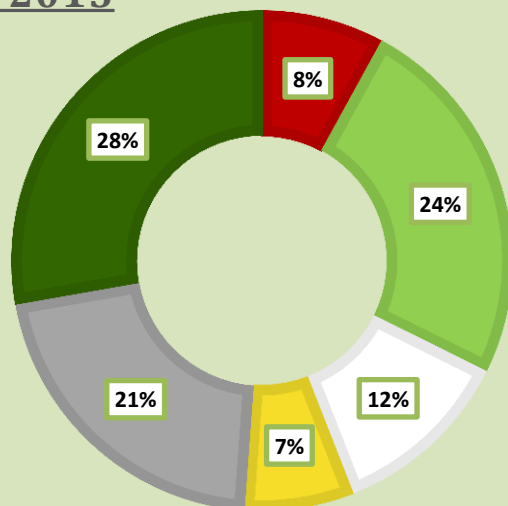


Loan Book Distribution - Q2-2014



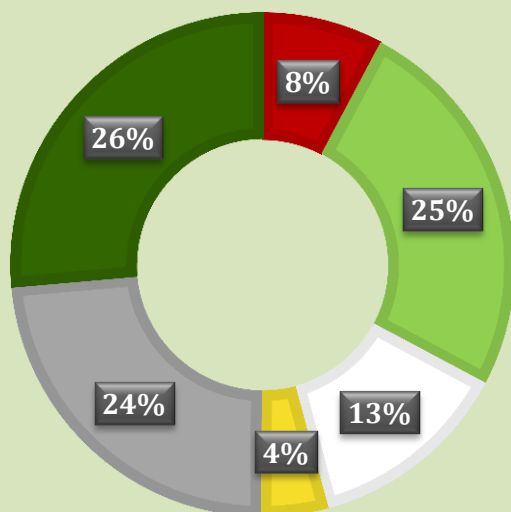
DEPOSITS DISTRIBUTION Q2-2015

- Sacco
- Retail
- MCU
- SME
- Government Banking
- Institutional Banking

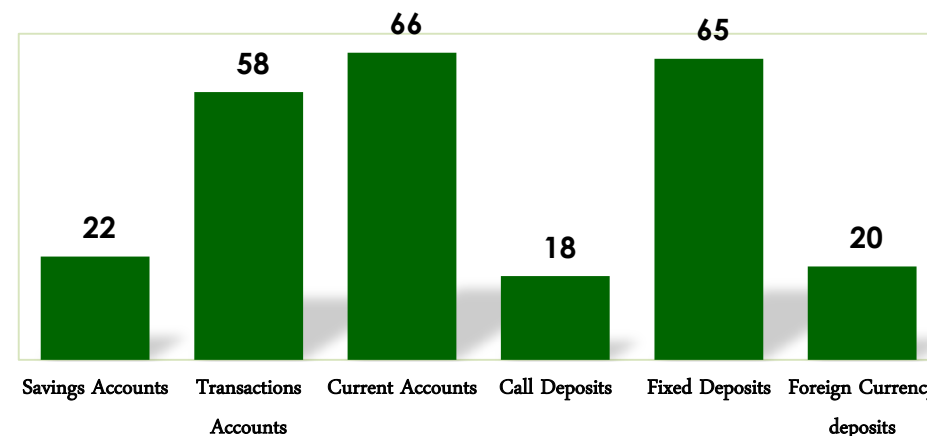


DEPOSITS DISTRIBUTION Q2-2014

- Sacco
- Retail
- MCU
- SME
- Government Banking
- Institutional Banking



Deposits : Q2 - 2015 (In Ksh. Billions)



- ✓ Current accounts form the largest single component of deposit liabilities at 27%
- ✓ Transactions accounts shared 23% of the book whereas savings had 9% and foreign currency 8%. These deposits offer a comfortable cushion for asset growth.
- ✓ Fixed and call deposits form 26% and 7% respectively

Portfolio Trends Ksh. Millions

	<u>Q2-2015</u>	<u>%</u>	<u>Q2-2014</u>	<u>%</u>	<u>FY - 2014</u>	
Normal	187,793	90.1%	154,647	90.9%	166,821	89.4%
Watch	12,211	5.9%	8,520	5.0%	11,818	6.3%
Substandard	3,096	1.5%	2,739	1.6%	3,382	1.8%
Doubtful	4,527	2.2%	3,092	1.8%	3,837	2.1%
Loss	701	0.3%	1,088	0.6%	763	0.4%
TOTAL	208,328	100.0%	170,088	100.0%	186,622	100%

Core Capital / Total Deposits (10.5%)
Core Capital / Total Risk weighted Assets (10.5%)
Total Capital / Total Risk Weighted Asset (14.5%)
Coverage (<i>Loan loss prov+int in sus /Gross NPL</i>) -IFRS
Coverage(<i>Loss loan+int in sus+gen prov</i>)/Gross NPL- CBK
Liquidity (20%)
NPL / Total Loans
Loans to Deposits

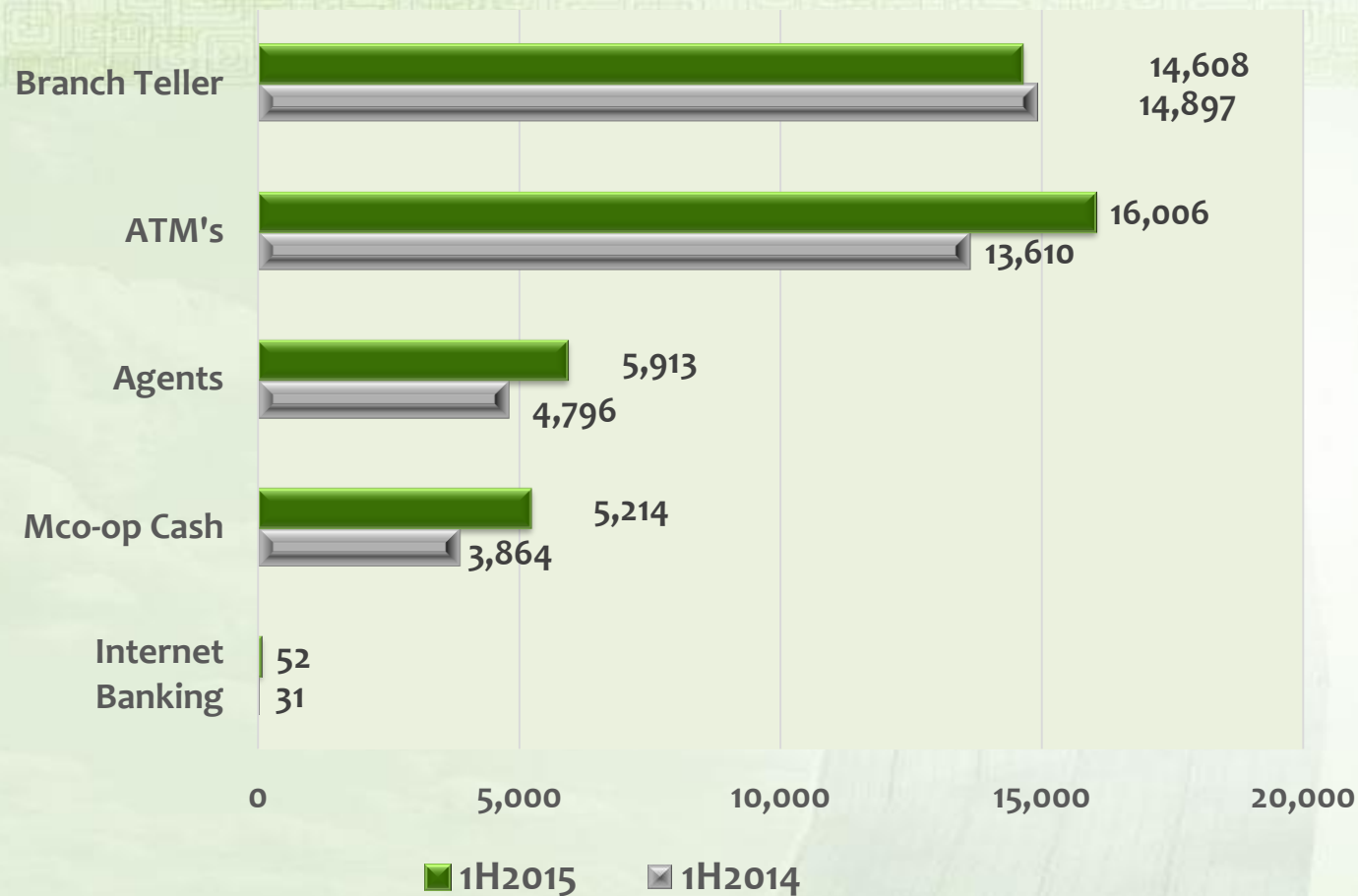
<u>Q2 2015</u>	<u>Q2 - 2014</u>	<u>FY 2014</u>
16.1%	17.1%	17.0%
13.8%	14.1%	14.6%
20.5%	20.0%	22.0%
32.1%	39%	30%
59.1%	64.8%	55%
32.9%	33.1%	33.8%
3.8%	3.7%	4.1%
84.3%	84.7%	84.7%



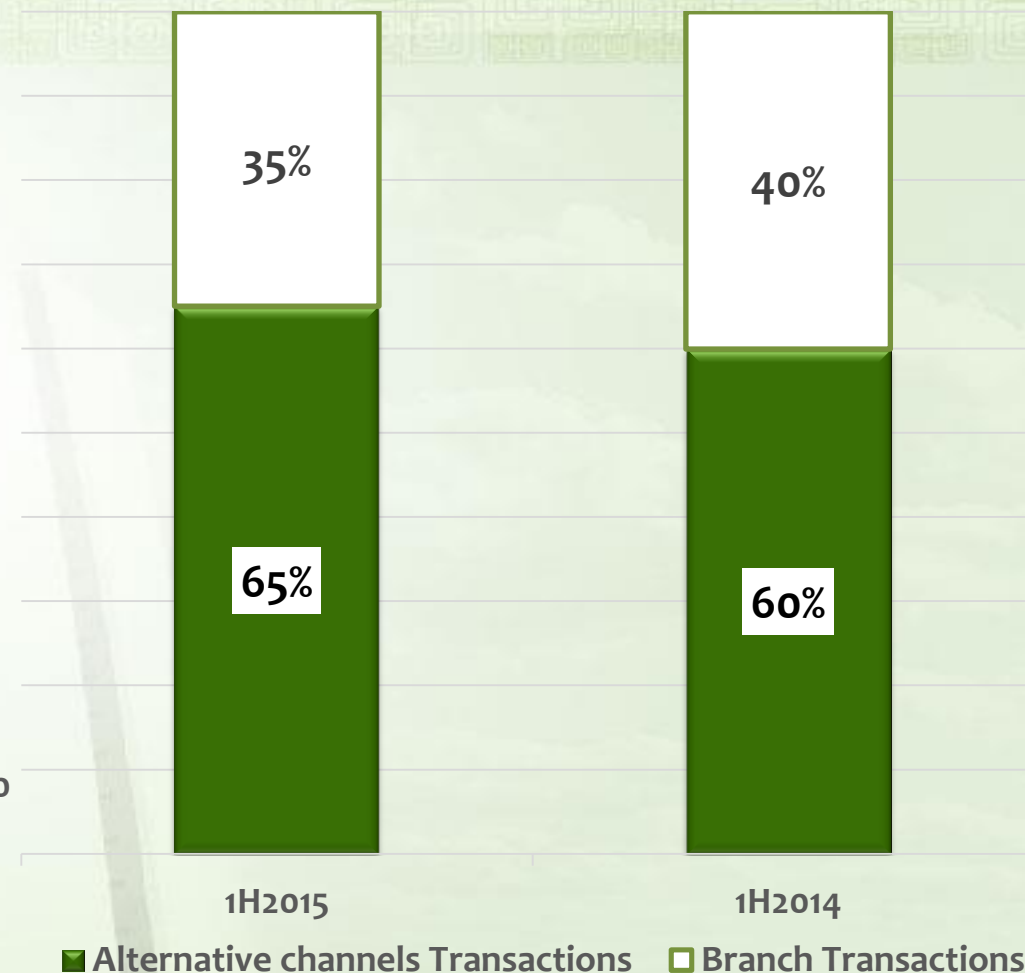
Strong Profitability Growth

Ksh. Billions (except for EPS)	Q2 - 2015	Q2 - 2014	% Change (Y/Y)		FY 2014 (audited)
Interest Income	16.7	13.7	22%	↑	29.4
Interest Expense	4.9	3.7	32%	↑	8.1
Net Interest Income	11.8	9.9	19%	↑	21.3
Fees & Commissions	4.7	4.9	- 4%	↓	8.7
Forex Income	1.01	0.92	10%	↑	1.417
Total Income	17.7	16.2	10%	↑	32.1
Loan Loss Provision	0.67	0.4	67%	↑	1.18
Staff Costs	3.86	4.04	-4%	↓	8.45
Total Operating Expenses	9.0	9.4	-4%	↓	20.1
Exceptional item, Early retirement costs	0	0	0	□	1.34
Profit Before Tax	8.8	6.8	30%	↑	10.9
Profit After Tax	6.2	4.7	32%	↑	8.01
Basic EPS	1.28	1.13	13%	↑	1.64

Channel Transactions in '000



Branch Vs Alternative Channels





	Q2 - 2015	Q2 - 2014	FY - 2014
Cost to Income (Including Provisions)	51.1%	58.4%	62.6%
Cost to Income(Excluding Provisions)	47.3%	55.9%	59.0%
Cost of funds	3.62%	3.43%	3.38%
Staff Cost to Total Income	21.8%	25.0%	26.3%
Debt to Equity	39.7%	33.8%	42.2%
Average Return on Equity	28.6%	25.6%	20%
Average Return on assets	4.2%	3.8%	3.1%
FX to Non Funded income	16.9%	14.8%	13.1%
Non - Funded to Total Income	33.6%	38.6%	33.7%
Net Interest Margin	9.3%	9.5%	9.8%
Effective Corporate Tax Rate	30%	30%	30%

- Cost to Income : The ratio is improving in line with the ongoing transformation strategy
- Average Return on Equity : Improved as a result of the improved operations efficiency
- NIM : Stable and in line with the bank's projections

2015 Financial Outlook

	<u>Actual 1H2015</u>	<u>Projections FY 2015</u>
Profit Before Tax Growth	30%	28% - 32%
Loans & Advances Growth	23.6%	18-22%
Deposits Growth	24.3%	25%
Cost to Income (Incl. Provisions)	51.1%	53%
Non Funded to Total Income	33.6%	35%
ROE	28.6%	25-30%
ROA	4.2%	4 -4.5%
NPL	3.8%	4.15%
Cost of funds	3.62%	3.8%
Net interest margin (NIM)	9.3%	9%
Cost of risk	0.7%	1%



- ❖ Annualised PAT reflects a P/E of 7.81 and a price to book of 2.13 at current prices Kshs.20 per share
- ❖ The bank stock is now in the MSCI frontier market.

Our share is a strong BUY

Conclusion

- ✚ We are pleased with the strong balance sheet and P&L growth of 22% and 30% respectively, with 1st half Profit Before Tax of Kshs8.75B compared to Kshs6.76B in 2014.
- ✚ With the increased momentum in the “Soaring Eagle Transformation Agenda”, revamped ICT infrastructure, profitable operations in South Sudan, and other new frontiers, the group will continue scaling new heights.
- ✚ We look to the future with great excitement and optimism! Thank you for your continued partnership and we invite you to invest more in the great future.

THANK YOU



CO-OPERATIVE BANK
We are you